

INDIAN AUTOMOBILES • TWO-WHEELERS • INDUSTRY

Won by the Few

Electric is the largest structural change Indian two-wheelers have seen in decades, and the question is whether it changes who wins. Our conclusion is that it changes the technology but not most of the rules of competition: the mass market will continue to be led by a handful of trusted default models, and only the new premium electric franchise is genuinely being contested.

RATING SUMMARY — COVERED TWO-WHEELER OEMs

Company	Rating	Which game it plays	The reason for the rating
Bajaj Auto	Outperform	Both games	The only incumbent positioned in both games: a strong mass-market business and a clear route into the emerging premium electric franchise through Triumph and KTM, funded from ICE cash flow.
TVS Motor	Market-Perform	Mass market (leader)	The strongest operator and the electric leader on one model (iQube) — the historical model of success, but already reflected in the valuation.
Eicher Motors	Market-Perform	Franchise (leisure)	The strongest franchise in the industry, secure for years; whether an electric leisure category can be created is the open question.
Hero MotoCorp	Market-Perform	Mass market only	A genuine cost leader, but concentrated in the contracting entry segment, without a franchise, and late in electric.

THE CLAIM — IN EIGHT LINES

- Σ Indian two-wheeler competition has always been two games. The mass market — commuter motorcycles and family scooters — is open ground won on cost, scale and distribution. Franchise categories are markets one manufacturer created and then held for a generation on brand, community and ecosystem.
- Σ Both games are won by a small number of models. About ten account for two-thirds of all volume, and even the largest manufacturers are three to five models each. Manufacturers win not by launching many models but by establishing one as the default.
- Σ That default compounds. Each additional owner deepens resale values, extends the service network and raises buyer confidence, so success reinforces itself. The leading models average about fifteen years in the market, and fewer than one new launch in ten endures.
- Σ Breadth of range has therefore never been the source of strength, which reframes the concern about the incumbents' single electric models. One well-distributed default is the historical model of success, not evidence of under-investment.
- Σ In the mass market, electric changes the technology but not the rules: cost, distribution and a trusted default still decide the outcome, favouring the incumbents over the multi-model start-ups. Over two years the legacy manufacturers have moved from about a third of the electric market to more than sixty per cent.

- Σ The exception is the new premium, connected franchise, which has not yet been established and will go to whoever builds the ecosystem first. This is the one area where a narrow, cautious line-up carries real cost, and where Ather and Ola are most focused.
- Σ This determines the positioning. Bajaj competes in both games and can fund both — Outperform. TVS wins the mass market but is valued for it; Eicher holds the strongest franchise but faces the open question of electric leisure; Hero holds contracting ground without a franchise — each Market-Perform.

EXECUTIVE SUMMARY

The transition to electric is the biggest structural change the Indian two-wheeler industry has seen in decades. The central question this note asks is simple: will electric change who wins, or will the industry's long-established competitive order remain intact?

Our conclusion is that electric changes the technology, but not most of the rules of competition. To understand why, we first need to understand how winners have always been created in Indian two-wheelers.

The first thing that stands out is how concentrated this market is. India sells around eighteen million two-wheelers every year across more than eighty brands, yet roughly ten models account for almost two-thirds of industry volumes. This has remained true for decades. New launches arrive every year, but very few become enduring successes.

That concentration is not an accident. Indian two-wheelers are bought very differently from most consumer products. For much of the market, the motorcycle or scooter is an income-earning asset or a household's primary mode of transport. Buyers therefore optimise for reliability, resale value, service availability and low running costs rather than novelty. Once a model establishes itself, its installed base becomes its biggest advantage. More owners create denser service networks, stronger resale values, greater familiarity among mechanics and higher buyer confidence, making the next purchase even more likely. Success compounds, and a handful of models become the market's default choices.

The way this flywheel develops, however, differs across two distinct parts of the industry. The first is the mass market, comprising commuter motorcycles and family scooters. Here, competition is fundamentally about cost, manufacturing scale and distribution. Better products matter, but they rarely displace incumbents quickly because customers value proven ownership economics above all else. One successful model is typically enough to dominate the segment for years.

The second comprises franchise categories—markets that one manufacturer creates rather than simply competes within. Bajaj built sports commuting through Pulsar, Honda built the modern family scooter through Activa, and Royal Enfield built leisure motorcycling. Here, the flywheel is driven less by utility and more by brand, community and identity. Competitors may copy the product, but replicating the surrounding ecosystem is far more difficult.

This distinction explains why electric is unlikely to reshape the entire industry. Where electric simply replaces the existing commuter vehicle, we believe the historical rules remain intact. Cost competitiveness, manufacturing scale, distribution and one trusted default product continue to matter far more than the breadth of the product portfolio. The recovery of incumbent manufacturers to more than 60% of electric two-wheeler sales is consistent with this view.

Where electric creates an entirely new category, however, the opportunity is different. Premium, connected electric vehicles represent a franchise that has yet to be established. Here, early ecosystem building, software capabilities and focused product development matter much more because leadership has not yet been determined. This is the one part of the market where a conservative product strategy could prove costly.

The investment implications follow directly from this framework. Bajaj is the only incumbent with credible positions in both games: it combines a strong mass-market position with a clear pathway into the emerging premium electric franchise. TVS remains one of the strongest operators but is already valued for that execution. Eicher continues to own the industry's strongest franchise, although electric leisure remains an open question. Hero retains significant scale advantages but remains concentrated in the shrinking entry segment and lacks a comparable franchise position.

Our central conclusion is therefore straightforward. Electric will not fundamentally rewrite how winners are created in Indian two-wheelers. The mass market will continue to be dominated by a handful of trusted default models. The only part of the industry where the competitive order is genuinely being rewritten is the new premium electric franchise.

INVESTMENT CONCLUSION

Own the manufacturer that competes in both games and can fund both; be cautious on the one confined to the mass market on contracting ground.

The framework translates into positioning without a gap. If the market is won by a few defaults, and if electric refills the mass market while opening a single new franchise, the question for each stock is straightforward: does it hold a strong default in a game worth winning, and is its electric effort aimed at the right game? Each view below carries the evidence that would change it.

Bajaj Auto — Outperform. Positioned in both games.

Bajaj holds a franchise, competes in the mass market, is the second-largest electric manufacturer on a credible default, and owns the clearest route into the emerging premium electric franchise through Triumph and KTM. It is not narrow where it matters, and it can fund both games from ICE cash flow, at a lower valuation than TVS. That combination is the basis for our only Outperform. We would become more cautious if Bajaj lost the second electric position for several quarters, or if the premium initiatives stalled.

TVS Motor — Market-Perform. Wins the mass market, and is valued for it.

The strongest operator in the group and the electric leader with the iQube; a single strong default is the model of success rather than a weakness. But the mass market is precisely what the market already pays TVS to win. Our rating reflects valuation rather than doubt, and we would become more constructive on any de-rating that leaves its execution and electric leadership intact.

Eicher Motors — Market-Perform. Holds the franchise electric cannot yet replicate.

Royal Enfield is the strongest franchise in two-wheelers and carries the highest margins in the group. The risk is specific: its category is premium leisure motorcycling, in which the product is the character of the engine, and whether electric can reproduce that is unresolved. The franchise is secure for years; the open question is whether an electric leisure category can be created, and by whom. The Flying Flea from 2027 is the item to watch.

Hero MotoCorp — Market-Perform. A cost leader on contracting ground.

Hero's cost advantage is real, but it applies only to the mass market, and its defaults sit in the entry segment, which is contracting as buyers move up. It has not converted cost leadership into a franchise despite repeated attempts, and it is late and sub-scale in electric without a franchise to rely on. We would need a genuine move up-market, or a scaled electric default with sound economics, before upgrading.

The trade, in one line.

Own Bajaj: it competes in both games and can fund both. Respect TVS and wait for a better entry point. Hold Eicher for the franchise and monitor electric leisure. Be most cautious on Hero, whose ground is contracting and whose single game has no franchise behind it. The transition will not be linear, but the positioning is clear.

CHAPTER 1

Indian Two-Wheeler Competition Has Always Been Two Games, Not One

The industry is usually analysed as a single market with a single set of winners. That is the wrong lens. It is two markets, won in different ways, and the entire electric question turns on separating them.

The mass market: commuter motorcycles and family scooters.

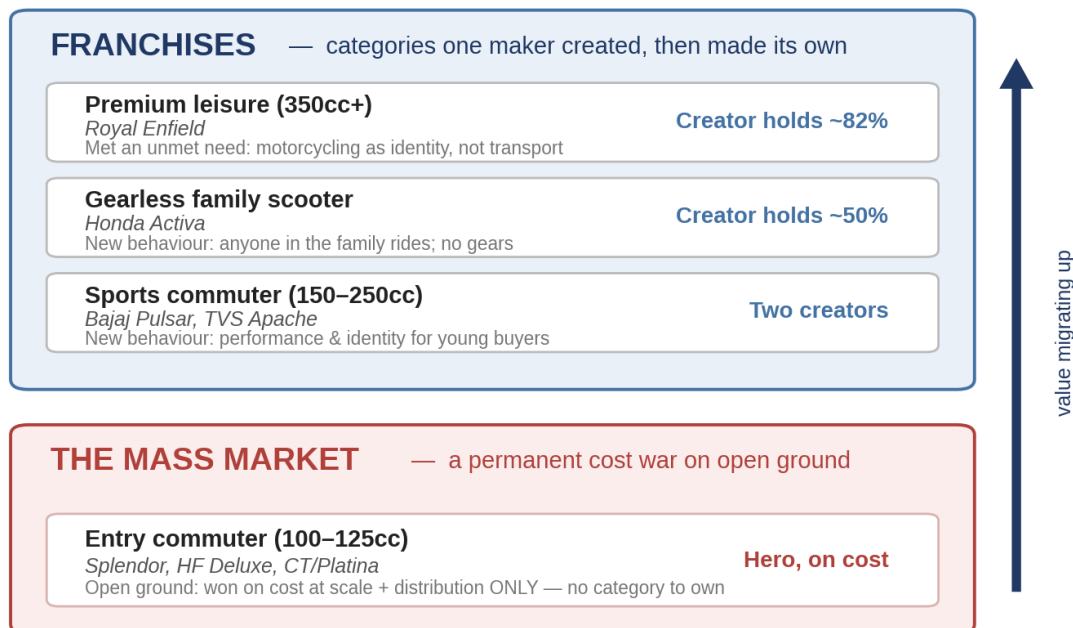
At the base is the everyday commuter motorcycle and family scooter that most Indians buy. For these customers the vehicle is an income-earning asset or the household's main transport, so they optimise for reliability, resale value, service availability and running cost. Competition is therefore about cost, manufacturing scale and distribution. It is open ground: anyone can enter, but no manufacturer can wall off a section and keep it. One trusted default model is usually enough to lead the segment for years.

Franchise categories: markets a manufacturer creates.

Above the mass market sit categories that a single manufacturer created rather than merely competed within. Bajaj created sports commuting with the Pulsar; Honda created the modern family scooter with the Activa; Royal Enfield created leisure motorcycling almost from nothing. In these categories the advantage is driven less by ownership economics and more by brand, community and identity. Competitors can copy the product; replicating the ecosystem around it is far more difficult.

Exhibit 1.

Two games, not one: an open-ground cost contest won on scale, and created categories — franchises — that one manufacturer built and held for decades. Value is migrating upward.



Source: Bernstein framework; segment leadership from SIAM/FADA and company disclosures. Shares indicative. See data note.

Why the distinction decides the electric outcome.

The two games are won with different capabilities, defended against different threats, and face different futures in electric. The mass market rewards the lowest cost at scale; a franchise rewards whoever created and fortified the

category. Analysed together, the conclusions blur; separated, the electric question becomes tractable, because electric affects each game differently. The chapters that follow take each in turn, establish the concentration that sits on top of both, and then apply the framework to the transition.

CHAPTER 2

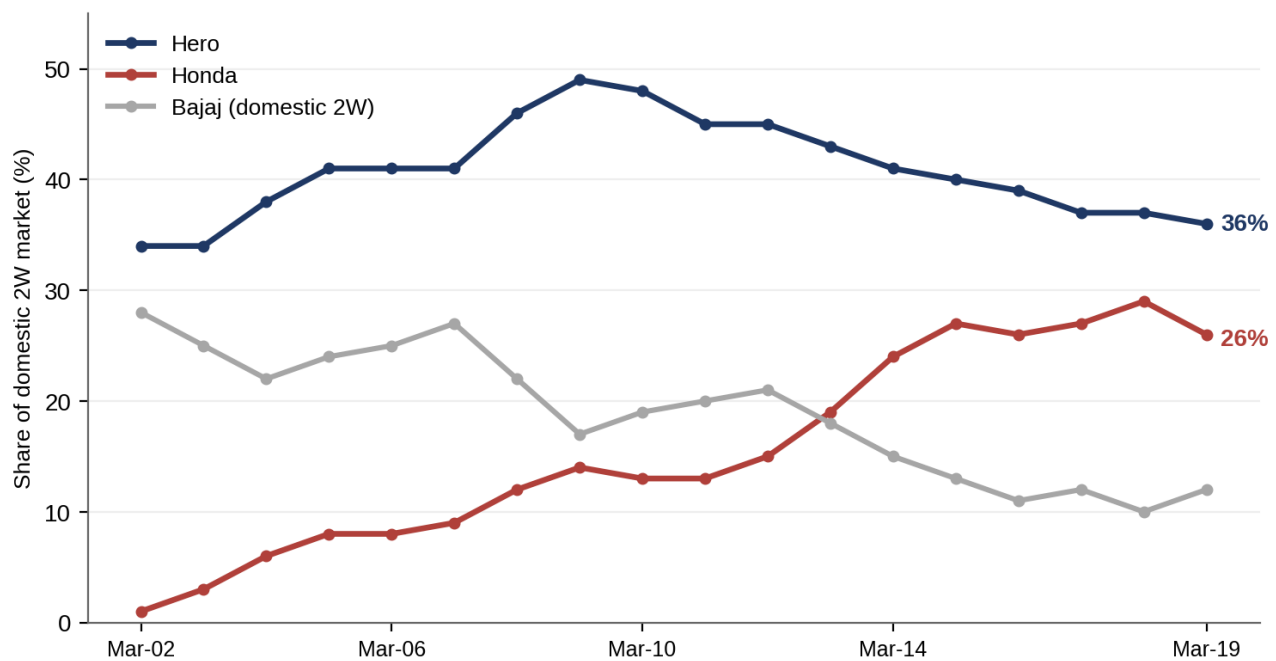
The Mass Market Is Won on Cost and Distribution, Not on Product

The mass market is won on cost at scale, delivered through distribution. Hero has led entry commuter motorcycles for twenty-five years because scale, frugal engineering, supplier leverage and a service network that reaches small-town India at low cost give it a cost advantage rivals cannot match without comparable volume — which they cannot reach without first taking its share. The position is self-reinforcing, and it is why a better product changes share only slowly here.

Honda illustrates the point. It entered with smoother, more durable engines and climbed from almost nothing to roughly a quarter of commuter motorcycles, but the process took some fifteen years and it has still not taken the lead. In the mass market a superior product gains share gradually rather than overturning the order. And no manufacturer has built a defensible franchise inside the mass market, because open ground cannot be enclosed.

Exhibit 2.

In the mass market a better product gains share only gradually: Honda's superior engines took about fifteen years to reach a quarter of commuter motorcycles, and still trail Hero.



Source: SIAM, Bernstein analysis. Commuter motorcycle segment shares.

This matters because it runs against intuition. The mass market rewards cost, reach, reliability and consistency rather than novelty or engineering brilliance. It is the least glamorous part of the industry and by far the largest, and it is the part the incumbents are built to win. That is worth holding in mind through the electric discussion, because the mass market is most of the volume and electric does not obviously change who is best equipped to win it.

Where we could be wrong. We would be wrong if a new entrant built a structural cost advantage the incumbents could not match. That never happened in petrol, but a manufacturer that secured a decisive battery-cell cost position could, in principle, break the pattern. We address this in Chapter 8.

CHAPTER 3

Franchises Are Created, Then Defended by an Ecosystem That Is Hard to Copy

If the mass market is unavoidable, franchises are where durable advantage is built. The pattern is consistent: a manufacturer opens a category that did not exist and then holds it for a generation. Understanding why these positions endure is central to the electric forecast, so it is worth defining a franchise precisely.

What qualifies as a franchise, and what does not.

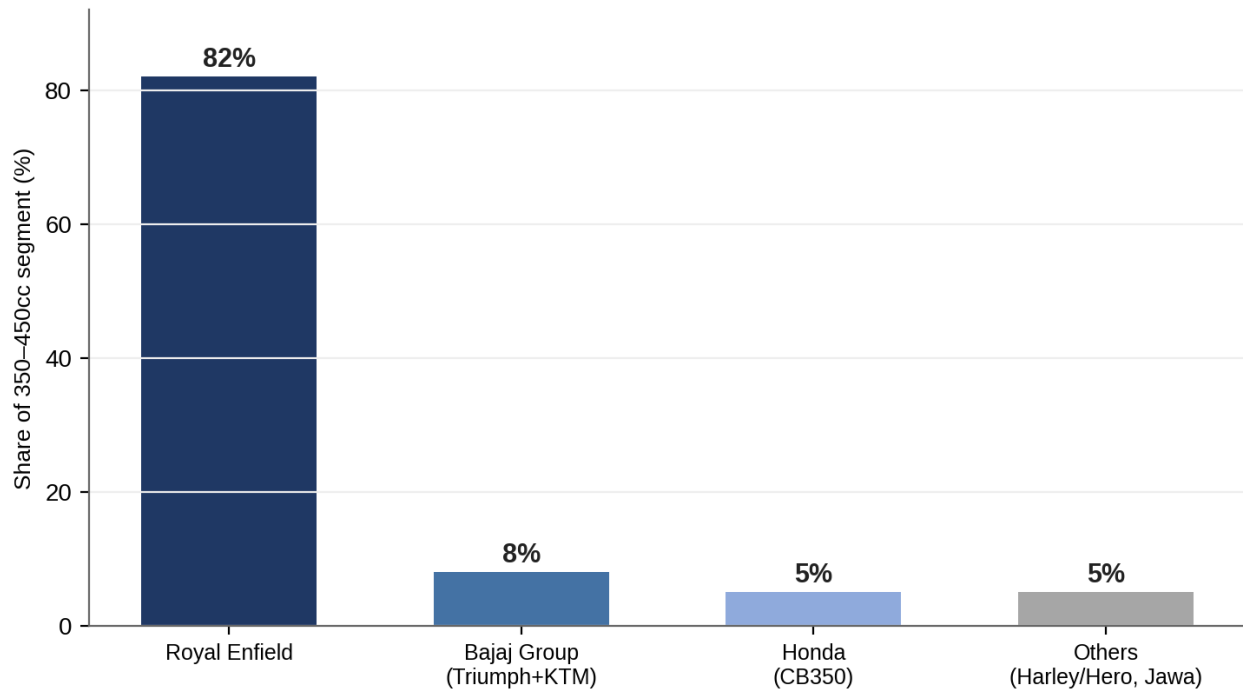
A franchise meets three conditions. It serves a need the market had left unmet; it establishes new customer behaviour rather than simply a higher price point; and it accumulates reinforcing advantages — resale, service familiarity, financing, community and brand — that make the position costly to attack. Applied honestly, the test excludes some obvious candidates. The Splendor is the clearest example: it is an outstanding product and the best-selling motorcycle in history, but it did not create a category or change behaviour. It won the existing commuter mass market on cost and reach. The Splendor is Hero's principal mass-market model, not a franchise. Pulsar, Activa and Royal Enfield qualify; Splendor does not, and drawing that line sharpens the framework rather than weakening it.

Created from strength or from weakness, but always created.

The creators arrived by different routes. Bajaj, losing the geared-scooter market to Honda's technology, exited it and built a category it could own — sports commuting, through the Pulsar, aimed at younger buyers who wanted performance and identity rather than pure utility. Royal Enfield, then a marginal manufacturer of a few thousand unreliable motorcycles a month, chose not to compete with the commuter makers at all and defined leisure motorcycling instead. Honda created the gearless family scooter with the Activa after the geared scooter had declined, offering a machine anyone in the household could ride. Different starting points; the same move: open a category with no direct competitor, then fortify it.

Exhibit 3.

The franchise is defended by its ecosystem, not the product: Royal Enfield retained about 80% of leisure motorcycling as Triumph, Harley, Honda and Jawa launched credible, sometimes superior machines.



Source: SIAM, Bernstein analysis. Leisure/premium (350cc+) segment. Shares indicative; see data note.

The product is the entry ticket; the ecosystem is the defence.

This is the central mechanism, and the historical record is unusually clear on it. Each of these products was straightforward to copy, and each was copied by well-funded rivals with comparable engineering. None of the categories was retaken. The reason differs slightly in each case, and the difference is instructive.

The Pulsar held because Bajaj continued to invest — a decade of variants, a racing identity, and a service and resale base that made it the safe aspirational choice. Rivals matched the specification without displacing the position.

Royal Enfield held against Triumph, Harley-Davidson, Honda and Jawa, several of which launched credible or superior machines, and retained roughly four-fifths of its segment. The defence was never the motorcycle; it was the brand, the community, the resale values, the accessible price for the badge and the service network — an ecosystem a better product does not by itself overcome.

The Activa held around half its category for two decades because reliability compounded into resale value, and resale value combined with service reach made it the default household choice. Capable competitors such as the Jupiter and the Access took some share; none displaced the leader.

The counter-example reinforces the rule. Hero, the master of the mass market, has never built a franchise of its own despite repeated attempts — Karizma, Xtreme, Impulse, the premium projects and the Harley collaboration. The manufacturer that wins the cost war could not convert cost leadership into category creation, because the two games reward different capabilities. That is not incidental; it is evidence that the two games are genuinely distinct.

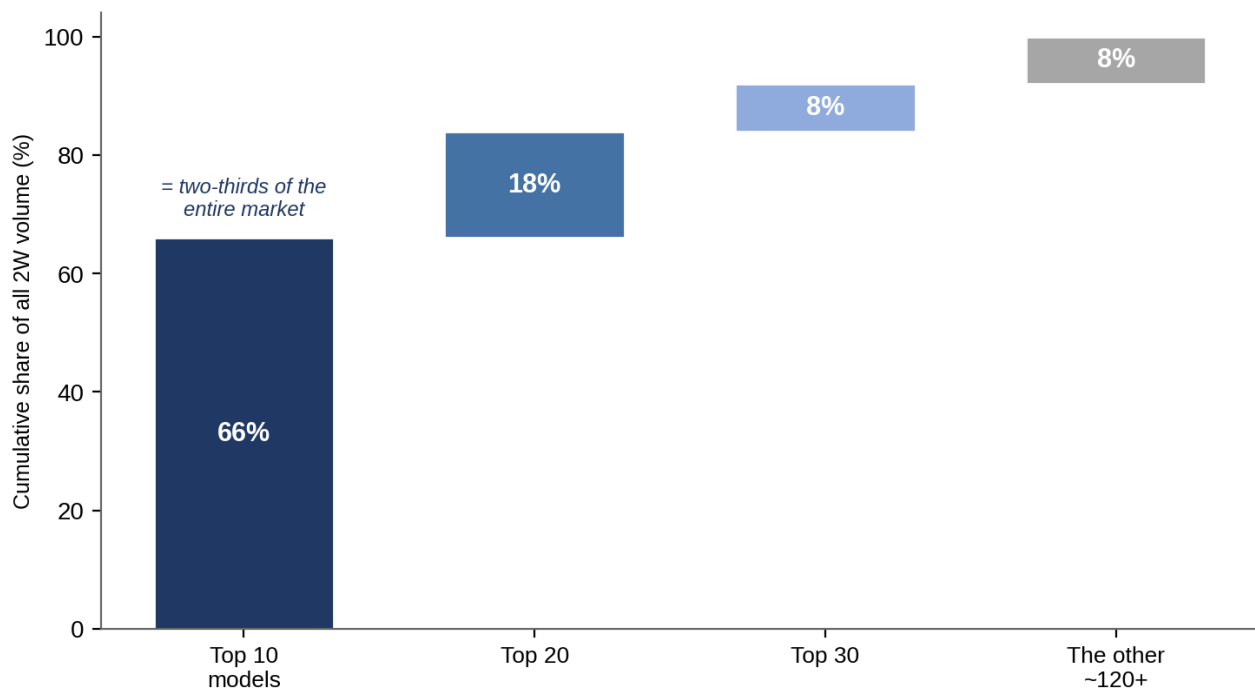
CHAPTER 4

A Handful of Models Have Always Carried This Market

A single fact sits on top of both games and reframes the electric debate: this market is exceptionally concentrated at the model level, and has been for as long as the data runs. More than eighty brands are on sale, yet about ten models account for two-thirds of total volume. The next ten take most of the remainder. More than a hundred further nameplates share what is left. A crowded catalogue and a highly concentrated market have coexisted for decades.

Exhibit 7.

A small number of models constitute the market: about ten nameplates are two-thirds of total volume, and the next ten take most of the remainder.



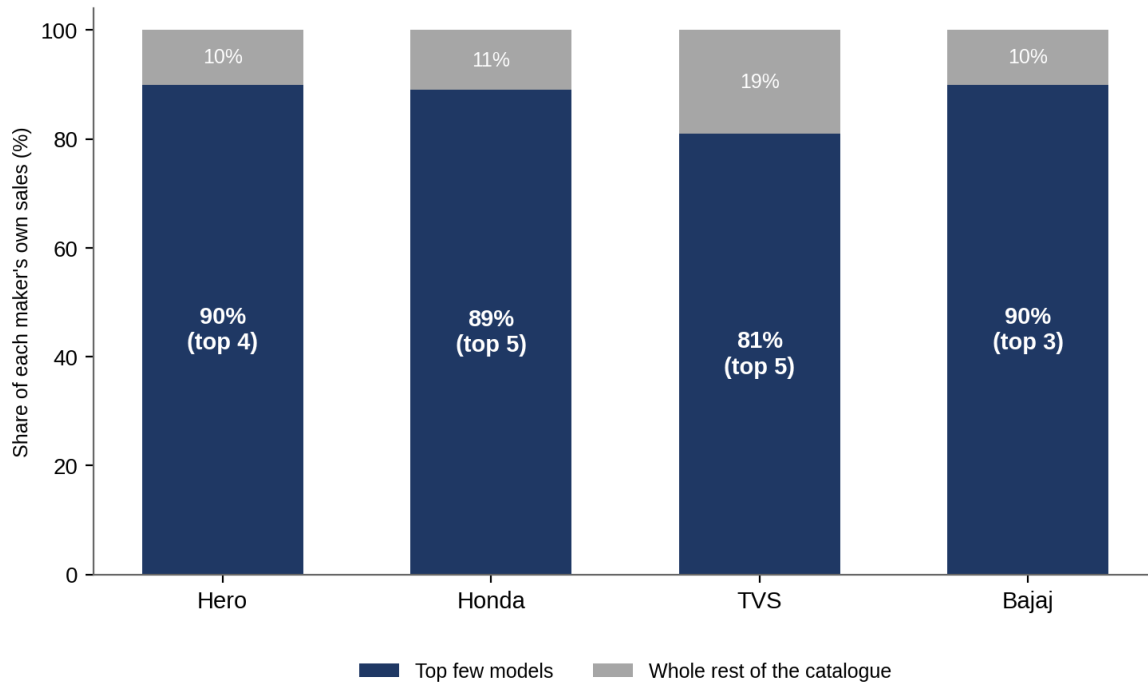
Source: SIAM, Bernstein analysis (FY19 basis). Model-level share of total 2W volume; see data note.

Even the largest manufacturers are three to five models.

The concentration holds within each manufacturer, not only across the industry. Hero's top four models are roughly ninety per cent of its sales; Bajaj's top three are roughly ninety per cent of its own. Honda and TVS show the same pattern. The remainder of each range — the long tail of variants and unsuccessful launches — contributes very little. In revenue terms, a large Indian two-wheeler manufacturer is a small number of models supported by a broad catalogue.

Exhibit 8.

Even the largest manufacturers are three to five models: the leading nameplates are roughly 80–90% of each major manufacturer's own sales.



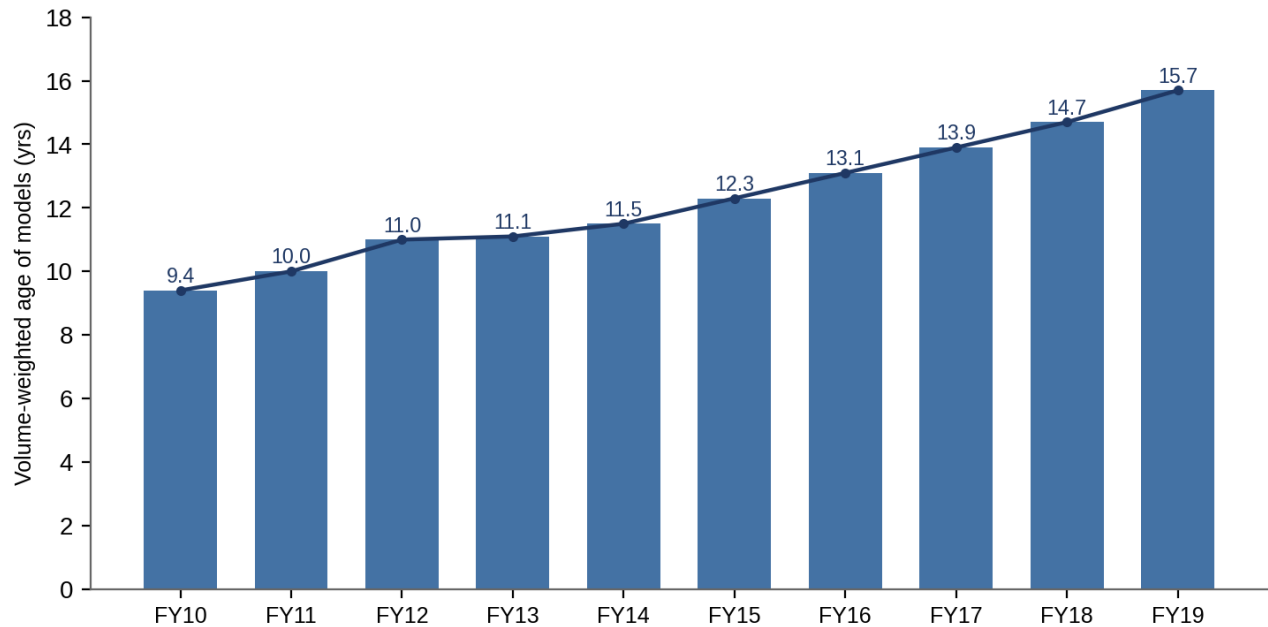
Source: SIAM, Bernstein analysis (FY19 basis). Share of each OEM's domestic sales from its top brands.

The leading models are old, and getting older.

Concentration is not a static feature but a process that compounds. The volume in this market sits in models that are, on a weighted-average basis, about fifteen years old, and that age has risen every year for a decade. The Splendor dates from 1994, the Activa from 2000, the Pulsar from 2001, the Access from 2007. New launches rarely displace them: fewer than one in ten new models over the last decade achieved a meaningful share and sustained it for three years. Most competent products never become defaults.

Exhibit 9.

The leading models are old and ageing: the market's volume sits in models averaging about fifteen years, and that age has risen every year — new launches rarely displace the defaults.



Source: Media, SIAM, Bernstein analysis. Volume-weighted average age of models on sale.

Concentration is the mechanism, not a coincidence.

The explanation is the same in both games and is the core of this note. Manufacturers do not win by launching many models; they win by establishing one model as the default and allowing time to reinforce it. Each additional owner makes the vehicle a safer choice for the next buyer, deepens its resale market and extends the service network around it. The effect is self-reinforcing, and it accrues to whichever model reaches scale first and executes well. A wide range does not accelerate that process; it divides effort and usually slows it. This is consistent with our earlier work on model-level share: product success drives share, but the successful models are few, old and defended by an ecosystem, and new brands in established categories struggle to break in.

Breadth of range has never been the source of strength.

This corrects a common assumption before we turn to electric. The intuition that a broader portfolio provides resilience is close to the opposite of what the data show. The market rewards focus: one default, well distributed and well defended, outperforms a range of partially supported models. Ten models are two-thirds of the market; fewer than one launch in ten succeeds. A narrow line-up is the historical shape of success. The relevant question is not how many models a manufacturer offers, but whether its principal model is positioned in a game worth winning.

Where we could be wrong. We would be cautious about extending this too far if the factors that make petrol models durable — resale familiarity and service density — matter less for electric, where buyers may weight software and range more heavily than a long service record. If defaults form and dissolve more quickly in electric, a broader, faster-iterating range could outperform a single default. That is a genuine open question, and we return to it in Chapters 5 and 8.

CHAPTER 5

Electric Changes the Technology, Not Most of the Rules

The framework now applies directly to the central question. A common concern is that the incumbents are under-investing in electric because each relies on a single model — Bajaj on the Chetak, TVS on the iQube, with little else for several years. Read against the history, that concern needs to be divided, because a single default means different things in the two games.

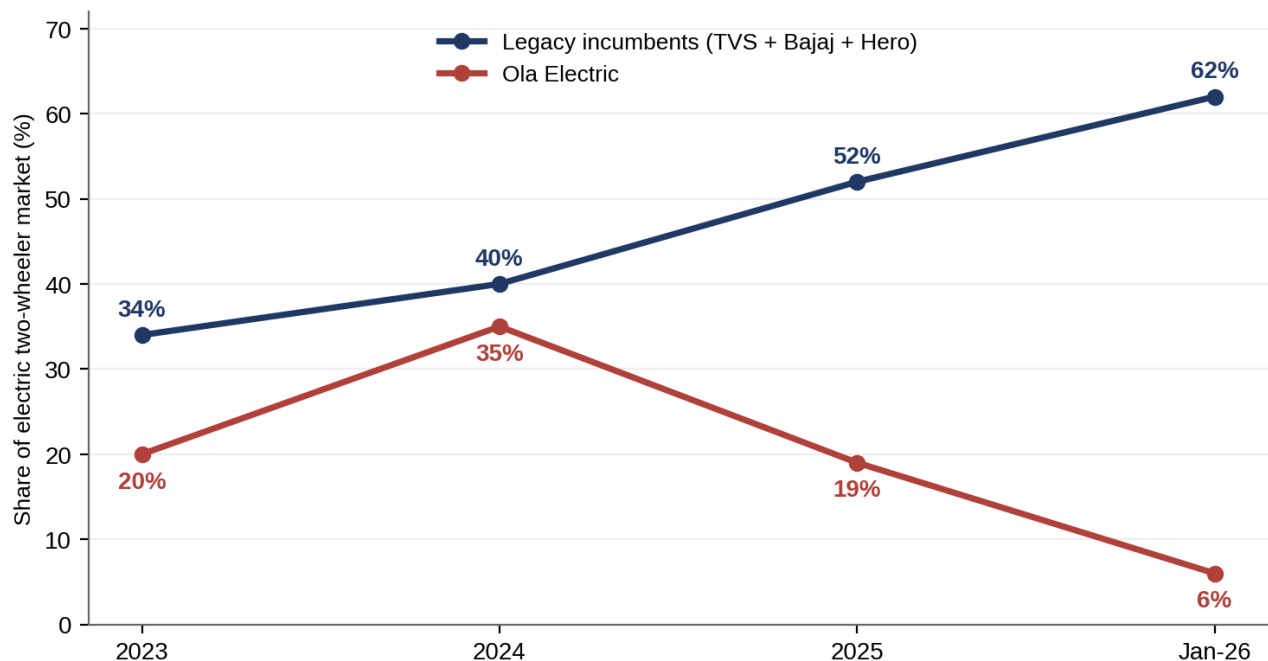
In the mass market, one default is the model of success, not a weakness.

Where electric replaces the existing commuter vehicle — the same buyer, the same need, at a lower running cost — it is the mass market, and the mass market has never been won by launching many models. It has been won by establishing one as the default and distributing it widely. On that basis, the incumbents' reliance on a single strong electric model is consistent with how Hero won with the Splendor and Honda with the Activa, not evidence of under-investment. It is also the opposite of the approach taken by the electric start-ups. Ola launched a broad range of models and spent heavily to create demand — historically the less successful strategy, and the data now reflect that.

The evidence to date supports the incumbents. Over roughly two years, the legacy manufacturers have moved from about a third of the electric two-wheeler market to more than sixty per cent, while the subsidy-era entrants that led on price and marketing have lost position. In the mass market, electric is being won on the same terms as petrol: cost, distribution and a trusted default.

Exhibit 4.

The mass market reasserting: legacy manufacturers have moved from about a third of the electric two-wheeler market to more than sixty per cent as the subsidy-era entrants faded.



Source: Vahan registrations, Bernstein analysis. Electric two-wheeler retail share.

In the new franchise, a narrow strategy is a genuine risk.

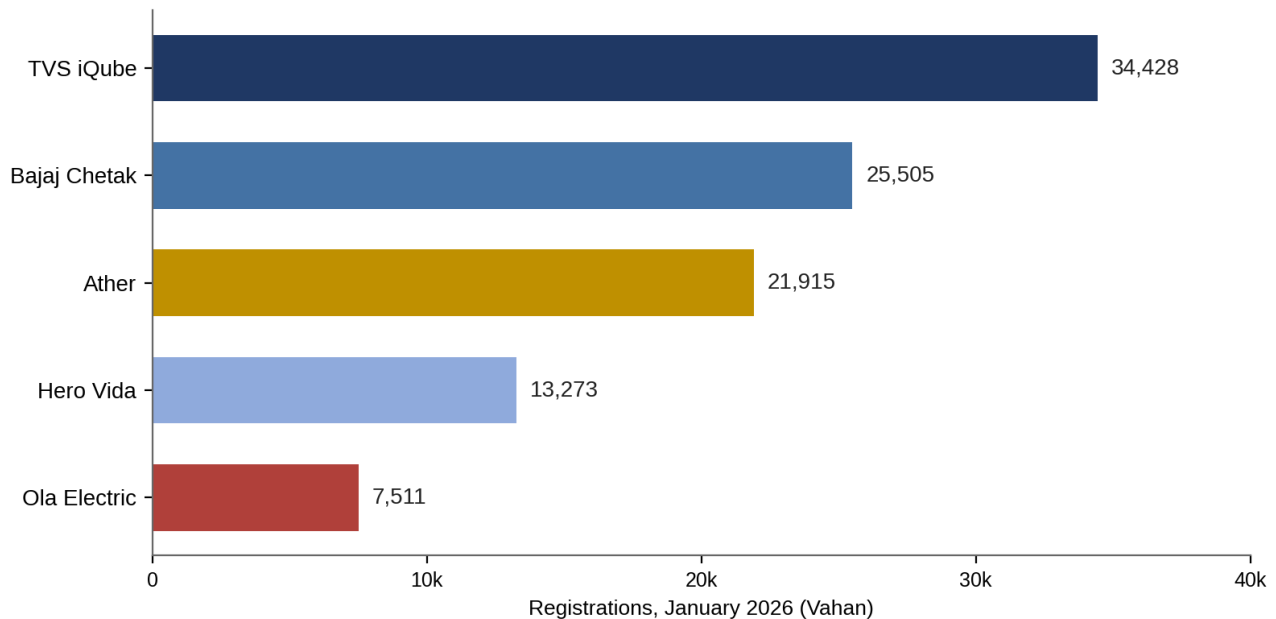
Electric is not only replacing the mass market, however. It is also creating a category that did not previously exist: the premium, connected, software-defined scooter, with its own charging network, over-the-air capability and a

younger, urban buyer. This is a franchise that has not yet been established, and an unclaimed franchise is won by whoever builds it first and most deliberately. This is the one area where relying on a single conservative model, and waiting, carries real cost, because it is the period in which the next franchise is decided. Ather currently has the strongest position — a connected, software-led scooter with its own fast-charging network and an active owner community. It is here, rather than in the commuter mass market, that a cautious incumbent could concede a category.

The concern therefore resolves precisely. The issue is not that the incumbents launch too few models; a single model is appropriate for the mass market. The issue is whether that single effort is also aimed at the one new franchise worth creating. The manufacturers best positioned are those whose principal mass-market model is strong and whose franchise effort is deliberate and funded. The most exposed is the manufacturer that is narrow in both — without a winning electric default and without a franchise position.

Exhibit 5.

A single month, but indicative: the leading electric positions now belong to incumbents rather than the early entrants that led on price and marketing.



Source: Vahan registrations (single month, illustrative), Bernstein analysis. See data note on volatility.

Where we could be wrong. We would be wrong if the premium electric scooter proves not to be a new franchise but simply a higher trim of the same commuter vehicle, in which case the incumbents' single defaults win there as well and the start-ups' early lead is worth little. Equally, if software and network effects make the new franchise more durable and faster to secure than petrol franchises were, the early builder's advantage may already be decisive. Both remain possible.

CHAPTER 6

No Previous Technology Shift Reset the Order; Electric Is the First That Might

Before relying on the framework in electric, it is worth testing it against every previous technology change, because if a new powertrain had reset these games before, the exercise would be idle. None did — and the reason none did is precisely the reason electric might.

The move from two-stroke to four-stroke, successive tightening of emission norms, and the shift from carburettor to fuel injection were each sustaining changes: an improved version of the same product, for the same buyer, through the same dealers. The incumbents absorbed the cost and continued; weaker manufacturers were squeezed out, but no category changed hands and no default was displaced. A sustaining change favours whoever already has scale and distribution — that is, the incumbents.

Technology shift	Nature	Reset a game?	Who won
Two-stroke → four-stroke	Sustaining	No	Incumbents with scale
Tightening emission norms	Sustaining	No	Incumbents; weaker players squeezed out
Carburettor → fuel injection	Sustaining	No	Incumbents; no category changed hands
Petrol → electric	Partly disruptive	Mass market: no. Franchise: open	Mass market to incumbents so far; new premium franchise undecided

Electric is the first transition with genuinely disruptive characteristics: a new core component in the cell, entrants who do not require the established service network, and new switching costs in software and charging. The question is not whether electric is different — it clearly is — but whether it is different enough to reset the games, or whether it largely refills them along existing lines. On the evidence so far, our answer is the latter for the mass market and an open question for the franchises.

CHAPTER 7

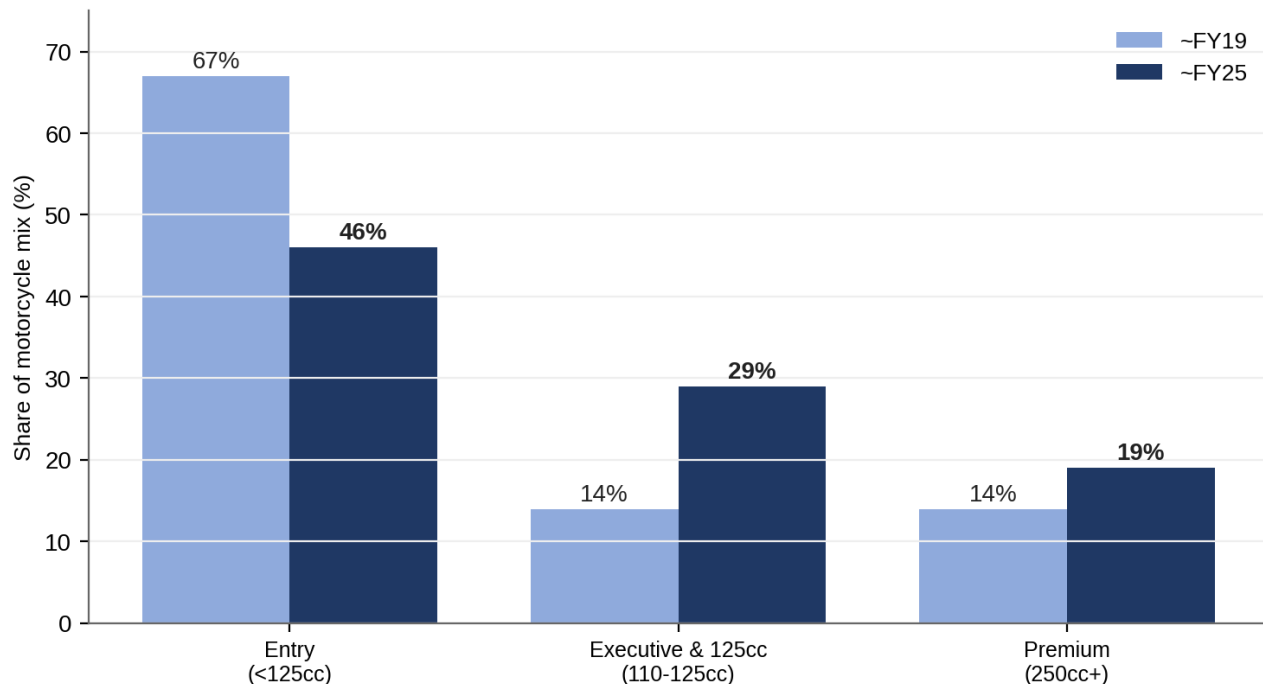
Electric So Far: The Incumbents Are Reclaiming the Mass Market

Two years of data are now available, and they are consistent with the framework rather than against it. The electric mass market is moving to the incumbents, and on the established terms.

The subsidy-era entrants that led on price and marketing have lost ground, and the legacy manufacturers have moved from roughly a third of the electric market to more than sixty per cent. The leading electric positions now belong to incumbents. This is what the mass market looks like when it reasserts itself: cost, distribution and a trusted default prevailing over novelty and marketing. We read the shift as structural rather than a subsidy effect, while acknowledging that two years is a short record and stating where we could be wrong.

Exhibit 6.

Value is migrating from the entry segment to the categories above it: the base is contracting while executive and premium grow, reducing Hero's ground and supporting the franchise creators.



Source: Bernstein synthesis of SIAM/FADA data; segment definitions vary and figures are indicative. See data note.

The one genuinely undecided contest is the premium, connected franchise, where the position is reversed: the early, focused builder leads, the ecosystem is forming around it, and the incumbents are the challengers. That asymmetry — incumbents leading the commuter mass market while a focused newcomer leads the emerging premium franchise — is the most important development to monitor, because it is where the two games are visibly diverging in electric.

Where we could be wrong. We would be wrong if incumbent electric share stalls or reverses once subsidies and early advantages fade, which would indicate that the recovery reflected subsidy support rather than the mass market reasserting. The clearest read will come in the first post-subsidy quarters.

CHAPTER 8

How the Transition Could Resolve, and What Would Prove Us Wrong

We hold a view rather than a certainty, and the appropriate way to hold it is to set out the possible paths and the evidence that would change our assessment. Three resolutions are possible, and the variables that distinguish them are identifiable now.

The variable that decides it	What we are watching
Does the battery cell become the cost contest?	Whether any manufacturer builds a domestic cell-cost advantage the others cannot match. That would shift the mass market.
Is the premium e-scooter a genuine franchise?	Whether connectivity, software and charging create switching costs, or remain a higher trim of the commuter vehicle.
How quickly can a software ecosystem be secured?	If franchises form faster in electric than in petrol, the early, focused builder secures the category first.
Does battery swapping change ownership?	A swapping network owned by an outside party would commoditise the vehicle and move the profit pool.

The framework is wrong if any of the following proves true.

It is wrong if a new entrant wins the mass market on product alone — something no manufacturer achieved in forty years of petrol, but which becomes possible if electric removes the incumbents' cost and distribution advantage. It is wrong if a challenger secures a structural battery-cell cost advantage the incumbents cannot match, since the cost contest would then shift to whoever controls the cell. It is wrong if battery swapping changes the ownership model and turns the vehicle into a commodity around a network owned by someone else. And it is wrong, in the way most threatening to the incumbents, if the premium electric scooter's software and network effects prove substantially more durable and faster to secure than any petrol franchise, allowing the early builder to lock the category before the incumbents respond. In that case, narrow incumbent line-ups would prove costly broadly rather than narrowly, and the multi-model challengers would win more than a niche.

We regard each of these as possible and none as yet the base case. They are the specific developments we are monitoring, and a reader who disagrees with our ratings should do so by taking the other side of one of them.

CHAPTER 9

Where the Common Assumptions Need Correcting

Four widely held beliefs about this market are partly mistaken, and the two-game framework shows why — and where each still holds.

“A better product wins.” In a franchise, yes; in the mass market, only gradually.

Product creates and defends a franchise. In the mass market, however, a better product gains share slowly and does not reset the contest: Honda took fifteen years and still trails Hero. The mass market is won on cost and distribution rather than refinement. Knowing which case applies is the essential distinction.

“A broader range provides resilience.” Close to the opposite.

This is the belief the concentration data most directly contradicts. The market rewards focus: one default, well distributed and defended, outperforms a range of partially supported models. Ten models are two-thirds of the market, and fewer than one launch in ten succeeds. A narrow line-up is the historical shape of success; the only question is whether the single model is positioned in a game worth winning.

“If a product is easy to copy, it is not a moat.” The moat was rarely the product.

Every enduring category was built on an easily copied product, and each was copied. The defence is the ecosystem of switching costs — resale, service, financing, familiarity and community — that accumulates around the default. Copying the vehicle does not copy the ecosystem. The genuine risk in electric is narrower but real: software-based ecosystems may be replicated faster than service-based ones, which is why the premium electric franchise appears less defensible.

“Incumbents always win transitions.” Only sustaining ones.

Incumbents won every petrol-era transition because each was sustaining. The first electric wave showed that a genuinely disruptive shift can reset a category when incumbents are slow or absent. They have recovered the electric mass market because the early entrants weakened themselves and because their balance sheets allowed them to enter late and still win — not because the outcome was assured. If the battery or software layer makes electric disruptive rather than sustaining, the assumption fails again.

CHAPTER 10

Investment Implications: Own the Incumbent That Plays Both Games

The framework translates directly into positioning: prefer the manufacturer that competes in both games and can fund both; be cautious on the one confined to the mass market on contracting ground. Each view carries the evidence that would change it — the same falsification discipline applied to the stocks.

Company	Rating	Which games it plays	What would change our view
Bajaj Auto	Outperform	Mass market + franchise; funded, and aimed at the new one	Losing the second electric position for several quarters, or the premium initiatives stalling
TVS Motor	Market-Perform	Best in the mass market; one strong default	A de-rating without loss of electric leadership would make us constructive
Eicher Motors	Market-Perform	Holds the deepest franchise; electric leisure unproven	Its 350cc position weakening, or a credible electric challenger taking real premium share
Hero MotoCorp	Market-Perform	Mass market only, on contracting ground; no franchise	A genuine move up-market, or a scaled electric default with sound economics

Bajaj Auto — the only manufacturer positioned in both games.

Bajaj holds a franchise, competes in the mass market, is the second-largest electric manufacturer on a credible default, and, uniquely, owns the clearest route into the emerging premium electric franchise through Triumph and KTM. It is not narrow where it matters, and it can fund both games from ICE cash flow, at a lower valuation than TVS. That combination is the basis for our only Outperform.

TVS Motor — wins the mass market, and is valued for it.

TVS is the strongest operator in the group and the electric leader with the iQube, and a single strong default is the model of success rather than a weakness. But winning the mass market is precisely what the market already pays TVS to do. Our Market-Perform reflects valuation rather than doubt, and we would become more constructive on any de-rating that leaves its execution and electric leadership intact.

Eicher Motors — holds the franchise electric cannot yet replicate.

Eicher owns the strongest brand franchise in two-wheelers and the highest margins in the group. The risk is specific: its franchise is premium leisure motorcycling, the one category in which the product is the character of the engine, and whether electric can create that experience is genuinely unresolved. The franchise is secure for years; the open question is electric leisure, and the Flying Flea from 2027 is the item to watch.

Hero MotoCorp — a genuine cost leader on contracting ground.

Hero's cost advantage is real, but it applies only to the mass market, and its defaults sit in the entry segment, which is contracting as buyers move up. It has not translated cost leadership into a franchise, and it holds no winning electric default — narrow in the mass market's shrinking base and absent from the new franchise. We would need evidence of a genuine move up-market, or a scaled electric default with sound economics, before upgrading.

What to watch, in order.

- Σ Whether incumbent electric share holds after subsidies are withdrawn. The clearest test of whether the mass-market recovery is structural rather than subsidy-driven.

- Σ Whether any manufacturer establishes a single electric model as a genuine default, as the Splendor and Activa became defaults. The indicators are service density, resale values and repeat purchase, not launch volume.
- Σ Who establishes the premium, connected franchise, and whether an incumbent makes a serious, funded attempt rather than fielding a single cautious model. This is the one area where a narrow line-up is costly.
- Σ The premium electric motorcycle — the Flying Flea and its competitors. The single category that could still surprise in either direction, because there the product is the engine itself.

DATA NOTE AND CAVEATS

Hard data versus channel intelligence. Volume and share figures from Vahan registrations, SIAM, FADA and company filings are hard data. Statements about intentions, internal budgeting, model line-up plans and field observation are softer channel intelligence, and are flagged as such. We keep the two separate deliberately.

The concentration figures are structural, and dated. The model-level concentration evidence — top-ten share, per-manufacturer top-brand share, weighted model age and launch-success rates — is drawn from our earlier FY19 model-share work and is used to establish a decades-long structural pattern, not this month's share. A refresh against the latest Vahan/SIAM data is outstanding before distribution and may move the exact figures, though the pattern has been stable for years.

The two-game framework is analytical, not a data series. 'Mass market' and 'franchise' are our way of organising the evidence, and segment boundaries are not always clean. Shares are used to make a structural point, not to describe a single month.

Monthly electric shares are volatile. The leading electric positions have changed hands repeatedly between manufacturers, and single-month figures move several points. Where we cite a single month, it illustrates structure rather than precise share.

Forward-looking items are estimates. Scenario probabilities, cost-parity timing, cell-capacity targets and the premium-motorcycle question are judgements, not established facts. Company plans have been revised repeatedly and should be treated with caution.

This builds on prior house work, and does not contradict it. The framework extends our earlier finding that product success drives share while franchise positioning and early-mover advantage determine who leads a category, and that new brands in established categories rarely break in. Where this note goes further is in reading the same concentration through the electric transition.

The central conclusion carries genuine uncertainty. That electric is sustaining for the mass market and potentially disruptive only at the new franchise rests on roughly two years of incumbent recovery. It is our most probable path, not a certainty; the conditions that would change it are set out in Chapters 5 and 8, and the battery and swapping layers are the credible routes to a different outcome.

Not investment advice. This note is a structural framework for institutional investors. Ratings reflect the covering analyst's house framework. It is not personalised investment advice, and readers should form their own view.